

tions such as our award-winning ECB and securitisation deals.” This striving to adapt to evolving situations makes Shriram Finance a worthy recipient of the Sustainability Leadership Award (Upper Layer NBFC).

The focus on ESG gained momentum during this phase. “A board-level ESG committee, chaired by an independent director, was constituted. We also set up a strong governance structure, drew up a focused ESG strategy, and had a dedicated vertical for reducing carbon emissions through financing of green assets,” says Revankar.

Within Shriram Finance’s key sustainability pillars, a critical piece is the value chain code of conduct. “These are supported by policies and regular ESG training for our employees. Our environmental and social management system guides our lending practices and ensures alignment with ESG principles,”

says Revankar. Then, there is the EV financing part, one that is still evolving.” Revankar says the company has proactively launched initiatives to promote cleaner mobility financing. “We run targeted campaigns offering longer tenors and concessional interest rates for EVs, particularly in two and three-wheeler segments.” This is in line with Shriram Finance’s focus on first-time borrowers and last-mile operators. “It leads to a double impact of social inclusion and environmental benefits.”

The scale factor—a pan-India presence and a customer base of more than 9.56 million—helps in pushing the cause of vehicle financing through the social finance framework and green financing initiatives. “Through this, we have mobilised over \$6.5 billion through onshore and offshore channels, including loans, bonds and securitisation,” says Revankar. He pauses to outline how petrol engines

have been around for a century, while diesel is about 60 years old. “EVs are a recent phenomenon and their efficiency is now being understood. Nordic countries initiated it and the growth there has been very impressive.” The secret lies in creating both scale and infrastructure to propel growth. According to Revankar, his company’s differentiation comes from, apart from the green vertical, encouraging women borrowers (for whom concessional rates are offered on loans and higher rates given on deposits) and reporting lower emissions across the portfolio.

Revankar is clear that the current initiatives will lay the foundation for “a much larger, long-term sustainability roadmap.” The systems and frameworks that are being put in place, he says, such as ESG-linked KPIs, value-chain assessments and product-level innovations, will drive the next phase of transformation. On the anvil are plans to expand into green financing (for EVs, battery infrastructure, rooftop solutions), deepening engagement with regulators and investors and scaling up climate-risk assessments into lending decisions and offering preferential rates for low-carbon assets. “We believe that the steps taken by the company and, increasingly by the regulators, on ESG disclosures with compliance will catalyse participation from ESG-focused investors. This will enable access to lower-cost and long-tenor capital for companies with strong ESG credentials,” he adds.

Sustainability, for him, is not a box to tick but an evolving journey. “Our goal is not just to adopt the best practices but to lead the way in redefining responsible and inclusive finance,” Revankar sums up. **BT**

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EXECUTIVE VICE CHAIRMAN, SHRIRAM FINANCE



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→ For around five decades, the business strategy has focused on uplifting livelihoods

→ Shriram Finance has a board-level ESG committee, chaired by an independent director

→ The systems and frameworks that are

being put in place, such as ESG-linked KPIs, value-chain assessments and product-level innovations, will drive the next phase of transformation

→ Sustainability for the company is not a box to tick but an evolving journey